



EMS Vs Components Manufacturing: EMPLOYMENT IN ELECTRONICS INDUSTRY OF INDIA

A recent article in a leading business newspaper reported that industry executives, during a government meeting, had suggested that EMS firms create more employment than electronics component manufacturers—for every rupee invested. To verify this claim, a review was conducted with both component manufacturers and EMS firms, as well as several trade associations.

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The media has long been a powerful tool in shaping government policy, which makes it essential for research and reporting to remain unbiased. When prominent outlets publish stories citing unnamed ‘industry experts,’ all seemingly aligned in the same direction, it inevitably raises concerns.

India’s electronics industry has already suffered the effects of policies influenced by those with limited investment in its long-term growth. Now, as the sector sees fresh opportunities, it is critical to ensure that past mistakes are not repeated.

The article in question, published by a leading business daily, raised doubts about whether it was based on thorough research

or aimed at steering policy in a particular direction. It suggested that EMS firms (electronics manufacturing services, or contract manufacturers) provide significantly more employment than electronics component manufacturers—for every 10 million invested. The responsibility for this claim was attributed to anonymous ‘industry executives,’ with further suggestions that the government of India might use these findings to justify offering more subsidies or incentives to EMS firms over component manufacturers.

This raises the possibility of policy influence.

Yet, the article failed to name these industry executives or provide their